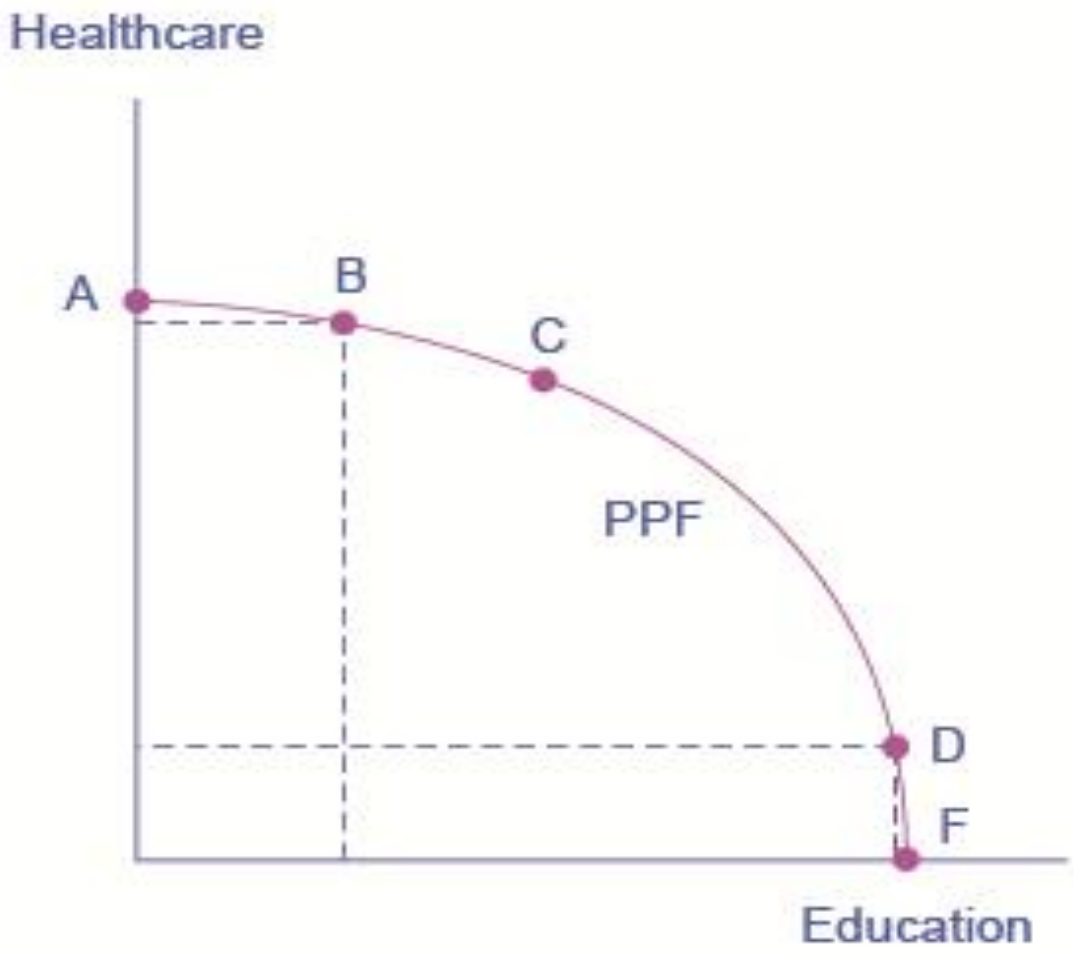
PRODUCTION POSSIBILITY FRONTIER

Tasneem Jahan Tumpa
Lecturer
Department of Economics

DEFINITION

- A production possibility frontier or PPF defines the set of possible combinations of goods and services a society can produce given the resources available.
- Choices outside the PPF are unattainable.
- choices inside the PPF are wasteful.

GRAPH



PRODUCTION POSSIBILITY FRONTIER

- If our society were to allocate all of its resources to healthcare, it could produce a maximum amount of healthcare. This situation is represented by point A on the production possibilities frontier. No resources left to produce education.
- If the society allocates all of its resources to produce education, it will have the maximum amount of education, but no resources left to produce healthcare—point F.
- Alternatively, the society could choose to produce any combination of healthcare and education shown on the production possibilities frontier, including those represented by points B, C, and D.

PRODUCTION POSSIBILITY FRONTIER

- The **budget constraint** is the outer boundary of the opportunity set or, in other words, the indicator of all the possible combinations of products—or spending opportunities—that the consumer can afford before their budget is exhausted.
- **Opportunity cost** measures cost in terms of what must be given up in exchange for something. Here, to produce health care, the next best alternative sacrificed is the production of education and vice-versa.

THANK YOU